Constitution

Michigan Trading and Technology

Preamble:

We, the founding members of Michigan Trading and Technology, in order to build a community of students who design, build, and run trading systems at the intersection of markets and hardware, do hereby establish this constitution.

Article I: Name

The name of the organization will be Michigan Trading and Technology. The remaining portion of this constitution will refer to the organization as MTT for brevity.

Article II: Group Affiliation

MTT is not affiliated with the University of Michigan or other organizations at this time.

Article III: Mission/Purpose Statement

MTT exists to train students at the intersection of electronic trading and hardware engineering. Rather than teaching market fundamentals and technology in isolation, MTT combines them, so members can learn, build, and deploy across both disciplines without boundaries.

MTT operates through project desks: small teams of trading, hardware, and software members who design, build, and run real trading systems, from strategy research to low-latency execution on FPGAs and other hardware. Desks are supported by development sessions, industry partnerships, recruiting events, and a community of members who push each other's work forward. New members also complete a weekly education program designed to build their technical skills early in their college careers.

MTT aims to educate and produce members who understand the full stack of modern trading, from the initial idea to the order reaching the exchange, and who leave ready for careers at top trading firms, hardware and systems companies, or their own ventures.

Article IV: Membership

1. Active Membership

Active membership shall be limited to persons officially connected with the University of Michigan as faculty, staff, or registered students. In addition, the following requirements are necessary to constitute active members:

a. Payment in full of all financial obligations as determined by MTT.
b. Attendance at a minimum of 50% of all campus events, general meetings, and team work sessions. Absences may be excused for reasons including, but not limited to, academics, illness, personal emergency, family matters, legal obligations, or religious observance.

2. Joining the Organization

Individuals interested in joining MTT must apply through a recruiting process held at the start of each semester. Applicants apply to either the Trading or Hardware track, and the track they choose determines their application and interview process. After the application deadline, selected applicants will be invited to interview. Interviews combine behavioral and technical questions, with technical content specific to each track. Once the board has concluded all necessary interview rounds, the top candidates will be offered membership in MTT.

Membership in MTT is earned through merit alone. Every applicant, regardless of personal relationships with current members, board members, or Founding Partners, must complete the full recruiting process, including the application and all interview rounds. No member or officer may grant, promise, or guarantee admission to any applicant, and no applicant may bypass any stage of the process. Referrals and recommendations may be noted, but they carry no weight in the final decision. Any board member with a close personal relationship to an applicant must disclose it and abstain from evaluating that applicant.

Founding members, as listed at the time of MTT's registration, are exempt from the recruiting process and hold active membership upon ratification of this constitution.

There is no graduation year requirement. All University of Michigan students are welcome to join MTT, no matter what year they are.

3. Member Withdrawal

A member may voluntarily withdraw from the organization by notifying the board of their desire to discontinue membership. Financial obligations previously paid to the organization will not be refunded.

4. Non-discrimination and Non-disruption

MTT is committed to a policy of equal opportunity for all persons and does not discriminate on any basis.

Upon joining the organization, all members agree not to undermine the purpose or mission of MTT.

Article V: Officers (The Board)

1. Composition

MTT shall be governed by a board consisting of the following officers:

a. **Director of Trading:** Oversees trading execution across all desks, including risk management, position limits, capital allocation between desks, and performance review. Approves desks for Live Execution, sets each live desk's written risk limits, and may return any desk to the Research Phase if it breaks those limits or stops producing results. Manages MTT's Trading Capital under Article VII and reports each live desk's performance and risk usage to the board weekly. Works directly with Desk Heads and trading-focused members to make sure desks run consistently, within MTT's rules, and in line with each member's employer trading restrictions. Owns and manages MTT's accounts and platforms, including broker, exchange, and data accounts, and controls who may trade through them.

b. **Director of Research:** Oversees strategy and desk research across MTT. Leads the evaluation and approval of new desks, sets the research and testing standards a strategy must meet before it

trades, and reviews existing desks' strategies over time. Works with the Director of Trading to hand approved desks into live trading and with the Director of Technology on the data and tools research depends on.

c. **Director of Engineering:** Oversees MTT's hardware and software strategies, including FPGA and low-latency systems development, hardware-accelerated trading projects, and the integration of hardware into desk strategies. Oversees all trading strategies, including modeling, computing, and other software-based strategies. Manages MTT's hardware equipment and resources, and leads hardware-focused partnerships with industry or the University.

d. **Director of Technology:** Oversees MTT's software and technical infrastructure, including trading platforms, data pipelines, backtesting and simulation tools, and the integration of hardware with MTT's trading systems. Oversees the integration of MTT's accounts and platforms with its trading systems, including exchange and data connectivity and system access.

e. **Director of Logistics:** Oversees the planning of all MTT events, including general meetings, recruiting events, firm events, socials, and club fairs. Handles room reservations, scheduling, and supplies, manages member communications and records, and ensures compliance with University and CCI policies.

No member can hold multiple board positions simultaneously. All members, including board members, have to be a part of a desk. Desk Heads are not part of the board and are governed by Article VI, Section 5.

2. Board Elections

Board members are elected annually by active members at the end of the winter semester to serve for the following academic year, per Article VI.

Founding Partners and Founding Members who hold board positions before the start of MTT's first official semester are not subject to election. They retain their positions until they voluntarily step down, except as provided in Article X, and their positions are then filled through the regular election process. For the purposes of this constitution, MTT's first official semester is the first full academic semester following MTT's registration with the University.

3. Additional and Suspended Positions

The board may create additional board positions by a unanimous vote of all sitting board members. The vote must define the new position's title and responsibilities, and the position takes effect immediately upon approval. Positions may be dissolved by the same vote.

Any board position, including those listed in Section 1, may be suspended by a unanimous vote of the board. A suspended position may be reinstated by the same vote. This does not include positions currently held by founding partners.

4. Partners and Authorized Signers

MTT shall maintain three Partners, who serve as MTT's Authorized Signers with the University. The initial three Partners shall hold the title of Founding Partner. As each Founding Partner leaves MTT, their successor shall hold the title of Partner. Only board members can be selected as partners, and the three partners will always be the members currently holding the role of Director of Trading, Director of Engineering, or Director of Technology.

The Partners jointly share the role equivalent to that of a President. Together, they set MTT's overall direction, represent MTT to the University and industry partners, and lead sponsorship and firm relationships. The Partners rotate weekly on who opens and closes general meetings, in an order set by the board.

Article VI: Operations

1. Voting Eligibility

All active members, as defined in Article IV, Section 1, are eligible to vote in board elections and on any matter brought before the general membership.

2. Election Process

a. Board elections are held at the end of each Winter semester for the following academic year's board, except for positions held by Founding Partners and Founding Members as provided in Article V, Section 2.
b. Any active member may nominate themselves or another active member for an open board position during a nomination period announced by the board at least two weeks before the election.
c. Voting is conducted by secret ballot. Ballots are collected and counted by the board. If a board member counting ballots is a candidate, the board shall appoint a board member who is not a candidate to count in their place.
d. The ballot will run via top-three ranked-choice, where first rank earns three points, second rank earns two points, and third rank earns one point. Each position is filled by the candidate receiving the most points. Ties are broken by a runoff vote between the tied candidates.
e. Newly elected board members take office immediately after the end of the winter semester.
f. If a founding partner/member of the board is studying abroad for a semester, then their position will be filled on an interim basis during that semester and will follow the traditional election process. At the end of the semester, the position will be returned to the founding partner/member.
g. A board position that becomes vacant during a semester must be filled by a special election following the same process. This process only occurs if a board member leaves for any reason.
h. Election results are to be released after all final exams have concluded.

3. Board Meetings

The board meets at least weekly, either in person or virtually, during the academic year. Board decisions require a simple majority vote of the board, unless otherwise specified in this constitution.

4. General Meetings

General meetings are held at a regular time set by the board each semester and follow this order:

i. Attendance
ii. Updates from the board
Iii. Desk and project updates
iv. Votes on any open matters
v. Other business
vi. Dismissal by a Partner

5. Desks

Members are organized into desks and assigned by the board based on their track and project interests. Each desk is led by a Desk Head, who is either elected by the desk's members or appointed by the board. In rare cases, and if the board sees fit (such as desk heads being in their first year of study), a desk may have co-heads. Members may move between desks only between semesters, not during one. Desk Heads direct their desk's projects and report progress to the board every week. Desk members serve as Desk Traders or Desk Engineers based on their track.

Every desk moves through the following stages. Desk proposals may be submitted at the start of each semester, up to one week after new member recruiting has finished. A proposed desk may be approved to launch by the Director of Research, or by a simple majority vote of the board. Once approved, it enters the Research Phase, during which it develops and tests its strategy or project and may not trade live. A desk exits the Research Phase once it demonstrates tangible results, such as a working system or a validated trading edge. It may then be approved for Live Execution by the Director of Trading or by a simple majority vote of the board. The Director of Trading may return any live desk to the Research Phase if it breaks MTT's risk limits or stops producing results. Except as provided below to meet desk limits, desks may only be fully dissolved by a unanimous vote of the board.

Approval to launch or to go live does not guarantee funding. Desk Heads and members must request funding from the board separately. Funding requests, including requests for additional funding, may be made at any time and require approval by the board. Desks requesting funding are expected to show a successful track record and explain what the funding is needed for.

The number of active desks shall not exceed one desk per three active members, including board members. Each desk must have at least three members, including at least one on the trading track and one on the hardware track, unless given an exception by the board. The board may merge or dissolve desks by a simple majority vote, but only when needed to meet these limits. This rule ensures that every desk has the members and attention needed to complete meaningful projects, and that MTT's resources are not spread too thin.

6. Recruiting and Education

The board runs a recruiting cycle at the start of each semester as described in Article IV, Section 2. New members complete a weekly education program during their first semester, run by the board or members appointed by the board. These education sessions will follow directly after the weekly general meetings, unless determined otherwise by the board for that week for reasons such as but not limited to scheduling conflicts and time constraints

Article VII: Trading Capital and Risk

1. Definitions

Trading Capital is any money used for live trading by an MTT desk. Trading Capital is kept entirely separate from MTT's operating funds, which are held in MTT's SOAS account and used only for events, equipment, and general club expenses. Trading Capital is never deposited into or paid out of the SOAS account.

Live trading at MTT is conducted solely for educational purposes. It exists so members can apply and test, under real market conditions, the skills taught through MTT's education program and desk work. Trading is not conducted to generate personal financial gain for any member.

2. Sources of Trading Capital
Trading Capital may come only from the following:

a. Gifts from members, alumni, or other individuals, made directly to the Trading Account. All gifts are voluntary, non-refundable, and give the giver no ownership, claim, return, vote, or other benefit within MTT. No member may be required to give as a condition of membership or desk placement.
b. Funds from a sponsor, under a written agreement approved by a simple majority of the Board.
c. Accounts owned and funded by a sponsor, which MTT desks may trade under a written agreement approved by a simple majority of the Board. Capital in these accounts remains the sponsor's property.

3. Accounts

Trading Capital must be held in one or more accounts designated by a simple majority of the Board ("Trading Accounts"). A Trading Account may be held by the Director of Trading on MTT's behalf, by a separate legal entity approved by the Board, or by a sponsor under Section 2.

When a Trading Account is held by the Director of Trading:

1. The account is used only for MTT trading and never for personal trading.
2. The Director of Trading signs a written agreement with the Board confirming that the funds are held on MTT's behalf.
3. Any withdrawal requires approval by a simple majority of the Board.
4. At the end of the Director of Trading's term, or upon their resignation or removal, all Trading Capital is transferred to the account designated by the Board.
5. The Board is responsible for arranging payment of any taxes owed on gains in the account.

Access to each Trading Account is limited to the persons that account's platform permits to use it. Desk Heads direct trades for their desks, and orders are placed by the account holder or by persons authorized on the account.

4. Allocation and Risk Limits

Trading Capital may only be allocated to desks approved for Live Execution under Article VI, Section 5. The Director of Trading sets a written risk limit for each live desk, including maximum capital and maximum loss. A desk that hits its maximum loss stops trading immediately and returns to the Research Phase until the Director of Trading or a simple majority of the Board approves it to resume. The Board may set a maximum total amount of Trading Capital held at any time.

5. Losses, Profits, and Liability

MTT does not guarantee returns on any Trading Capital. MTT will not seek reimbursement from any member, officer, or Partner for trading losses incurred in good faith and within approved risk limits. Anyone giving to the Trading Account must acknowledge in writing, before giving, that the gift is non-refundable and carries no claim or return. Profits are retained as Trading Capital or used for club purposes, and are never distributed to individual members.

6. Reporting

The Director of Trading reports each live desk's performance and risk usage to the Board weekly, and shares a statement for each Trading Account with the Board monthly. A summary of all Trading Capital, positions, and results is available to active members on request.

7. Compliance and Conflicts

All trading must comply with University policy, applicable law, and the terms of any broker, exchange, or platform used. Members may not trade on material non-public information. Members employed by or interning at a trading firm must follow that firm's personal trading and outside activity policies, and must disclose any restriction that affects their participation in live trading.

8. Dissolution

If MTT dissolves, all Trading Capital is closed out and transferred as decided by a simple majority of the Board, to another registered student organization or a charitable organization. It is never distributed to members.

Article VIII: Finances

MTT may fund its activities through any of the following:

a. Funding from University sources, including Central Student Government and the College of Engineering.
b. Sponsorships and partnerships with companies and organizations.
c. Membership dues, set each semester by a two-thirds majority vote of the board. Dues are deposited into MTT's University account, are non-refundable, and may be waived by the board for financial hardship.
d. Fundraising events and donations.

All MTT operating funds are held and managed through MTT's University account, with spending approved by the board. The board shall keep a record of all income and expenses, available to active members on request.

If MTT ceases to exist, any remaining funds shall be donated to the charitable organization Coming Up Rosies.

Article IX: Quorum

1. Board Votes: A majority of sitting board members must participate for a board vote to be valid.
2. Member Votes: At least one-half (1/2) of active members must cast a vote for an election or general membership vote to be valid. If quorum is not met, the board may extend the voting period or hold a new vote within two weeks.

Article X: Removal of Membership or Officers

1. Removal of Board Members

Any board member who violates MTT's purpose or constitution, or fails to fulfill their responsibilities as outlined in Article V, may be removed from their position through the following process:

a. A written request for removal is submitted to the board by at least three active members or by any board member.
b. The board member in question is notified in writing and given the opportunity to speak at the next board meeting.
c. Removal requires a unanimous vote of board members, not including the board member in question, subject to the quorum requirements of Article IX.
d. The vacated position is filled by a special election under Article VI, Section 2.

2. Removal of Members

Any member who violates MTT's purpose or constitution, or fails to meet the membership requirements in Article IV, Section 1, may have their membership revoked through the following process:

a. A written request for removal is submitted to the board by at least three active members or by any board member.
b. Removal requires a two-thirds vote of the board.

3. Founding Partners and Founding Members

Founding Partners and Founding Members may not be removed from their membership or from board positions they hold under Article V, except for:

a. Violation of the Statement of Compliance in Article XII; or
b. Serious violations of University of Michigan policy, including but not limited to the Statement of Student Rights and Responsibilities, hazing, discrimination, harassment, or misuse of MTT or University funds.

In such cases, the removal process in Sections 1 and 2 applies.

4. Removal of Partners

A Partner removed from MTT under this Article also loses their Authorized Signer role. Their successor is selected under Article V, Section 4.

Article XI: Amendments and Ratification

This constitution is binding on all members of MTT, but it is not binding upon itself. Amendments to the constitution may be proposed in writing by any voting member of MTT at any meeting at which quorum is met. The amendments will be placed on the agenda for the next regular meeting and voted on at that time.

Proposed amendments will become immediately effective following approval of a two-thirds (2/3) vote of present members, with Quorum being met as outlined in Article IX.

This constitution must be ratified by two-thirds of all active members to take effect and shall be reviewed annually.

Article XII: Statement of Compliance

MTT has read and agrees to fully comply with the University's policies. We understand that the organization's registration is contingent upon acceptance of these policies.